Procedure	Types	Description	Remarks
1. Test of Controls	1. **Inquiry**	Asking management or staff about how controls operate.	1. Link to **ISA 315**: Understand the entity's controls to assess risks. 2. Use when controls are expected to be effective. 3. Document the process and conclusions carefully.
	2. **Observation**	Watching a process or control being performed (e.g., observing inventory counts).	1. Use for controls that leave no documentary evidence (e.g., segregation of duties). 2. Combine with other procedures like inspection for stronger evidence.
	3. **Inspection**	Examining documents, records, or control logs for evidence of control operation (e.g., checking authorization signatures).	1. Focus on **key controls** that mitigate significant risks. 2. Check for consistency in application (e.g., all invoices are authorized).
	4. **Reperformance**	Repeating the control process to verify its effectiveness (e.g., reperforming bank reconciliations).	1. Use for high-risk areas. 2. Provides the strongest evidence of control effectiveness.
2. Analytical Procedures	1. **Trend Analysis**	Comparing financial data over time to identify patterns or anomalies (e.g., revenue growth over 5 years).	1. Use during **planning** and **final review** stages. 2. Investigate significant fluctuations or unexpected trends. 3. Link to **audit assertions** like completeness or accuracy.
	2. **Ratio Analysis**	Using financial ratios (e.g., gross profit margin, current ratio) to assess consistency and reasonableness.	1. Compare ratios with prior years or industry benchmarks. 2. Use to identify areas of potential misstatement (e.g., declining gross profit margin may indicate overstated costs or understated sales).
	3. **Reasonableness Testing**	Checking if financial data makes sense in the context of other information (e.g., comparing payroll expenses to employee numbers).	1. Use for predictable relationships (e.g., payroll vs. employee count). 2. Investigate deviations from expected results.
	4. **Comparison with Industry Benchmarks**	Comparing the entity's performance with industry averages or competitors.	1. Use to assess reasonableness of financial data. 2. Be cautious of differences in accounting policies between entities.
3. Substantive Procedures	1. **Tests of Details**	**Transactions**: Testing individual transactions for accuracy (e.g., vouching sales invoices to supporting documents).	1. Use for high-risk areas or when controls are weak. 2. Focus on **audit assertions** like existence, completeness, and accuracy. 3. Use sampling techniques to select items for testing.
		Balances: Verifying account balances (e.g., confirming receivables with customers or physically counting inventory).	1. Use external confirmations for strong evidence (e.g., bank balances, receivables). 2. For inventory, attend physical counts and observe procedures.
	2. **Substantive Analytical Procedures**	Using analytical procedures to detect material misstatements at the assertion level (e.g., comparing	1. Use for predictable relationships or low-risk areas. 2. Investigate significant differences.

Procedure	Types	Description	Remarks
		current year expenses to prior years).	3. Combine with tests of details for higher risk areas.
Audit Procedures	1. **Risk Assessment Procedures**	Identifying and assessing risks of material misstatement (e.g., understanding the entity's environment and controls).	1. Refer to **ISA 315** for detailed guidance. 2. Document risks and responses in the audit plan. 3. Use a combination of inquiry, observation, and inspection to understand the entity.
	2. **Tests of Controls**	Evaluating the effectiveness of internal controls (as described above).	1. Use when relying on controls to reduce substantive testing. 2. Document the design and implementation of controls. 3. Link to **ISA 330** for auditor's responses to assessed risks.
	3. **Substantive Procedures**	Obtaining direct evidence to detect material misstatements (as described above).	1. Use when controls are ineffective or risks are high. 2. Focus on material accounts and transactions. 3. Refer to **ISA 500** for audit evidence requirements.
	4. **Other Audit Procedures**	Includes procedures like **inquiry**, **observation**, and **inspection** that are used throughout the audit.	1. Use inquiry to gather audit evidence but corroborate with other procedures. 2. Observation provides evidence about processes but not their ongoing effectiveness. 3. Inspection provides reliable documentary evidence.

Aspect	Test of Controls	Analytical Procedures	Substantive Procedures	Audit Procedures
Definition	Tests performed to evaluate the effectiveness of internal controls.	Evaluations of financial information through analysis of relationships.	Detailed tests to detect material misstatements in financial statements.	Broad term for all procedures (tests of controls, analytical, and substantive).
Purpose	To assess whether controls are operating effectively to prevent/detect errors/fraud.	To identify unusual trends, fluctuations, or relationships in financial data.	To obtain direct evidence about the accuracy and completeness of accounts.	To gather sufficient evidence to form an opinion on the financial statements.
When Used	When reliance is placed on internal controls.	During planning, execution, and completion phases of the audit.	When controls are weak or when material misstatements are likely.	Throughout the audit process.
Nature	Focuses on the **operating effectiveness** of controls.	Focuses on **plausibility** of financial data using comparisons and ratios.	Focuses on **verifying transactions, balances, and disclosures**.	Includes all types of procedures used in an audit.
Examples	- Inspecting authorization signatures. - Observing control activities.	- Comparing revenue growth with industry trends. - Ratio analysis.	- Confirming account balances with third parties. - Physical inventory count.	- Test of controls + Analytical procedures + Substantive procedures.
Reliance on Controls	High reliance on controls if they are effective.	Limited reliance; used as a risk assessment tool.	Low reliance; used when controls are ineffective or insufficient.	Depends on the type of procedure being performed.
Outcome	Determines whether controls can be relied upon.	Identifies areas of potential risk or misstatement.	Provides direct evidence to support financial statement assertions.	Forms the basis for the auditor's opinion on the financial statements.